



One Parent Different Brands: Its Advantages And Disadvantages



Ever wondered why a company launches products under different brands sometimes? Yes, there are benefits of being able to differentiate between target audiences, but it does not stop there. There's more you can achieve by having different brands working under the same umbrella, working towards fulfilling the same goal

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It was in the month of May 2021 that an organisation outnumbered Maruti Suzuki in terms of car sales. What happened perhaps for the first in the recent history of India involves Hyundai and Kia selling approximately 3,000 more cars than Maruti Suzuki. But how does that relate to the business of electronics? Well, the answer lies in a strategy that relies on not just a parent organisation but also the brands that stem out of that particular company.

In terms of electronics, one such clear example is that of BBK Electronics in China. BBK owns consumer electronics brands Oppo, Vivo, Oneplus, Iqoo, Realme, and more. Today, the smartphone sales of these brands together outnumber the sales of smartphones done by any other brand. Not just the Chinese, even Korean brand Samsung has followed this strategy longer than one can remember. JBL and Harman are two among various

other brands that Samsung owns and have been doing quite well for the company. What's this strategy all about? Let's find out!

The target audience

The key to understanding or formulating a plan towards going one-parent-different-brands strategy probably revolves around the target audience one wants to address. Considering BBK and the brands it operates in the country, it becomes evident that each of the company's brands serves a different target audience.

Starting with Realme, this brand was originally launched to compete in the price-sensitive smartphone segment in the country. On its first launch, it locked horns with the likes of Mi and other smartphone models priced under ₹15,000 in India. Realme's first smartphone in the country was launched at a price of approximately ₹10,500. It then took on the rising Xiaomi and the already settled Samsung budget-friendly smart-